NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, COURT – II
CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, CHENNAI BENCH, HELD ON 24.02.2026 AT 10.30 A.M. THROUGH VIDEO CONFERENCING:

PRESENT: SHRI. JYOTI KUMAR TRIPATHI, HON'BLE MEMBER (JUDICIAL)
SHRI. RAVICHANDRAN RAMASAMY, HON'BLE MEMBER (TECHNICAL)

APPLICATION NUMBER	**:**	**--**
PETITION NUMBER	**:**	**CP(CAA)/46(CHE)2025 C**
NAME OF THE PETITIONER	**:**	**CA(CAA)/22(CHE)2025**
NAME OF THE RESPONDENT(S)	**:**	**Spencer International Hotels Limited**
UNDER SECTION	**:**	**Sec 230 - 232 of CA, 2013**

ORDER

Present: Ld. Counsel Mr. Sriram for RD.

Vide separate order pronounced in open court, petition is allowed.

Sd/-
RAVICHANDRAN RAMASAMY
Member (Technical)

Sd/-
JYOTI KUMAR TRIPATHI
Member (Judicial)

jp

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP (CAA)/46(CHE)/2025
In
CA (CAA)/22(CHE)/2025

(Filed under Sections 230 to 232 of the Companies Act, 2013)
In the matter of Scheme of Arrangement amongst Spencer International Hotels Limited and its members

SPENCER INTERNATIONAL HOTELS LIMITED,
CIN: U55101TN1977PLC007261,
Having its Registered Office at
Flat 2-B, Queen Court, 2nd floor, No.98-145, Montieth Road,
Egmore, Chennai – 600 008.
Represented by its Authorized Signatory, T N Gayathri

... Petitioner Company

Order Pronounced on ***24.02.2026***

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SHRI. JYOTI KUMAR TRIPATHI, MEMBER (JUDICIAL)
SHRI. RAVICHANDRAN RAMASAMY, MEMBER (TECHNICAL)

Present: -

For Petitioners	*: P S Suman, Advocate*
For Regional Director	*: Avinash Krishnan Ravi, Advocate*
For Income Tax Dept.	*: Rajkumar Jhabakh, Advocate*
For Official Liquidator	*: Pola Raghunath & B. Palani*

ORDER
(Hearing Conducted though Hybrid Mode)

1. This Company Petition has been filed by **SPENCER INTERNATIONAL HOTELS LIMITED** *(hereinafter referred as Petitioner Company)* under section 230-232 of the Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises,

Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') for approval of the Scheme of Arrangement (hereinafter referred to as the '**SCHEME**') proposed between the Petitioners Company.

2. Affidavit have been filed in support of the petitions sworn in by **T N Gayathri** for the Petitioner Company in the capacity of Authorised Signatory. Corresponding Extracts of Board Resolutions dated 22.01.2025 are placed on record.

3. 1ST MOTION APPLICATION

The Petitioner Companies had filed First Motion Application vide CA(CAA)/22(CHE)/2024 and sought directions for Dispensation/ Convening the meeting of its Members/ Shareholders and Creditors regarding approval of the proposed Scheme. Based on the submissions, this Tribunal vide Order dated 05.06.2025 ordered for dispensation of the meetings of Equity Shareholders/ Members, Secured & Unsecured Creditors of the Petitioner Companies.

4. SCHEME SUMMARY

The Scheme provides for the Arrangement of **SPENCER INTERNATIONAL HOTELS LIMITED** amongst their respective Shareholders and Creditors. Both the Petitioner Companies come under the jurisdiction of this Tribunal.

5. RATIONALE OF THE SCHEME

The rationale and benefits of the Scheme are briefed in Part B of the Scheme as follows,

"4. Reclassification and Utilization of the General Reserves

4.1. The General Reserves of the Company, as of the Appointed Date being Rs.2,63,44,600/- (Rupees Two Crores Sixty-Three Lakhs Forty-four Thousand Six Hundred only) have been, primarily, built up over the years through the transfer of profits to the reserves by the Company (prior to declaration of dividend) in accordance with the provisions of the Companies Act, 1956 and the erstwhile rules notified thereunder, namely, the Companies (Transfer of Profits to Reserves) Rules, 1975.

4.2. Upon this Scheme becoming effective and with effect from the Appointed Date, the entire amount of Rs. 2,63,44,600/- (Rupees Two Crores Sixty Three Lakhs Forty Four Thousand Six Hundred only) standing to the credit of the General Reserves of the Company shall be reclassified and credited to the full to the Profit and Loss Account of the Company, and subsequent thereto, such amounts credited to the 'Profit and Loss Account' of the Company shall be reclassified as and constitute accumulated profits of the Company for the previous financial years, arrived at after providing for depreciation in accordance with the provisions of the Act and remaining undistributed in the manner provided in the Act and other applicable laws. It is clarified that such amounts shall be available for utilisation by the Company in relation to any Payout in the manner set out in Clause 5 below.

5. Payout to Surplus Funds to Members.

5.1. Upon the Scheme becoming effective and subsequent to the reclassification of the amounts standing to the credit of the General Reserves and credit thereof to the 'Profit and Loss Account' pursuant to Clause 4 of the Scheme, the amount so credited may be

paid out to the Members of the Company, from time to time, by the Board of Directors, at its sole discretion, in such manner, quantum and at such time as the Board of Directors may decide (each such event constituting a "Payout").

5.2. Each payout of surplus funds including the quantum, manner and timing thereof shall be undertaken in accordance with the provisions of the Act, the Scheme and other applicable laws taking into account all relevant factors including applicable regulatory and fiscal considerations, the nature and quantum of each Payout and subject to payment of applicable taxes."

It is stated that the Board of Directors of both the Petitioner Companies have proposed the Scheme of Arrangement. This Scheme provides for various other matters consequential or otherwise integrally connected herewith.

6. In the second motion Petition filed by the Petitioner Companies, this Tribunal vide order dated 19.08.2025 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities concerned as well as directed to issue paper publication.

7. In compliance with the said directions issued by this Tribunal, the Petitioner Companies effected paper publications in ***"Indian Express"*** in English (All India Edition) and ***"Daily Thanthi"*** in Tamil (Tamil Nadu Edition) on 29.08.2024. The notices were also served to

(i) Regional Director, Southern Region, Chennai,

(ii) Registrar of Companies Chennai,

(iii) Income Tax Department and other regulators.

Pursuant to the service of notice of the petitions, the following statutory authorities have responded.

8. STATUTORY / REGULATORY AUTHORITIES

8.1. REGIONAL DIRECTOR

8.1.1. The Regional Director (RD), Southern Region to whom the notice was served on 13.08.2025, has filed its report on 29.09.2025 and has expressed its 'Observations' and 'No Objection' to the Scheme as follows,

> *"4. That as per Clause 2 of the Scheme, Appointed Date" means of close business hours of 01.04.2024, or such other date as may be fixed by the Hon'ble National Company Law Tribunal. The petitioner company has filed IA(CA)/171/(CHE)2025 under Rule 11 of the NCLT Rules 2016 for seeking direction from this Hon'ble Tribunal to amend the CP(CA)46/2025 in CA(CAA) 22 of 2025 as the appointed date was inadvertently mentioned as 01.04.2025 instead of 01.04.2024. Order is yet to be passed in IA(CA)/171/(CHE)/2025 and therefore, the company is in compliance with the provisions of Section 232(6) of the Companies Act, 2013.*
>
> *…*
>
> *14. That petitioner company may be directed to file amended MoA containing amendment to the Capital Claus if any, for record purposes with the Registrar of Companies.*
>
> *…"*

8.2. INCOME TAX DEPARTMENT

8.2.1. The Income Tax Department to whom the notice was served on 13.08.2025, has filed its report on 10.10.2025 and has expressed its 'Observations' and 'No Objection' to the Scheme as follows:

"4. In addition to the above and without prejudice to the objections in the letter attached, it is submitted that the requirement to send the notice to the concerned department is a procedural requirement and as such does not impact the right of the Department to proceed in accordance with the provisions of the Income Tax Act, 1961. Therefore, it is submitted that this Hon'ble Tribunal, may take the objections on record without prejudice to the rights of the Department to take all appropriate proceedings under the provisions of the Income Tax Act, 1961 to protect the interest of the Government revenue including the right to reopen the assessment. Further it is submitted that by filing of this Memo and the report of the Assessing Officer, the Income Tax Department shall not have deemed to waive its rights to undertake all proceedings under the Income Tax Act, 1961."

8.3. REPLY TO THE STATUTORY OBJECTIONS

The Petitioner companies have filed their response to the statutory objections and the same is extracted below:

"Reply to the Regional Director:

2. I have gone through the contents of the affidavit filed by the Petitioner Company in response to Report dated 29.09.2025 of the Regional Director in respect of the present scheme which has been drafted by my counsel and verified the same after understanding the contents of the same, including annexures, if any.

3. I depose and declare that facts as stated in above mentioned paragraphs of the said affidavit are based on the information derived from the records maintained by the Petitioner and the same is believed to be true.

4. I depose that I have not suppressed any material facts and disclosed all material facts in the accompanying affidavit.

Reply to Income Tax Authorities:

2. I have gone through the contents of the Affidavit filed by the Petitioner Company in response to letter no. ITBA/COM/F/17/2025-26/1081592018(1) dated 9th October 2025 filed by the Office of the Income Tax, Chennai Corporate Circle 3(1) which has been drafted by my counsel and verified the same after understanding the contents of the same, including annexures, if any.

3. I depose and declare that facts as stated in above mentioned paragraphs of the said affidavit are based on the information derived from the records maintained by the Petitioner and the same is believed to be true.

4. I depose that I have not suppressed any material facts and disclosed all material facts in the accompanying affidavit.

9. ACCOUNTING TREATMENT

It is stated that the certificates issued by the Statutory Auditors certifying the Accounting Treatment of the petitioner companies are in compliance with Section 133 of the Companies Act, 2013 are placed on record. Accordingly, upon this Scheme becoming effective and with effect from the Appointed Date:

> *"The entire amount of (Rupees Two Crores Sixty-Three lakhs and Forty-Four Thousand Six Hundred only) standing to the credit of the General Reserves of the Company shall be reclassified and credited in full to the 'Profit and Loss Account' of the Company."*

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. This Tribunal is of the view that the scheme as contemplated by the Petitioner companies seems to be *prima facie* not, in any way detrimental to the interest of the members of the Companies. In view of the absence of any material objections from any statutory authorities and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Amalgamation as well as the prayer made therein.

10.2. Notwithstanding the above, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being

taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

10.3. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

11. THIS TRIBUNAL DO FURTHER ORDER

(i) That the 'Appointed Date' for the Scheme shall be **01.04.2024** as mentioned under Clause 2.1. of the Scheme.

(ii) That the 'Effective Date' shall be defined under the Clause 2.1. of the scheme.

(iii) That the 'Record Date' for the Scheme has not been defined in the Scheme.

(iv) That the Petitioner Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Registrar of Companies shall place all documents relating to the 2nd Petitioner Company registered with him on the file kept by him in relation to 1st Petitioner Company shall be consolidated accordingly.

(v) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13. Accordingly, the Company Petition **CP(CAA)/46(CHE)/2025** stands **Allowed** on the aforementioned terms and is disposed of.

-Sd-	**-Sd-**
RAVICHANDRAN RAMASAMY	**JYOTI KUMAR TRIPATHI**
MEMBER (TECHNICAL)	MEMBER (JUDICIAL)